

Amendment No. 1 to SB0439

Watson
Signature of Sponsor

AMEND Senate Bill No. 439*

House Bill No. 635

by deleting all language after the enacting clause and substituting:

SECTION 1. Tennessee Code Annotated, Section 67-4-2006(c), is amended by adding the following as a new subdivision:

(10)

(A) Subject to subdivision (c)(10)(B), a taxpayer may, at the taxpayer's discretion, add back to net earnings:

(i) Any amounts taken as deductions from the taxpayer's federal taxable income that are also allowed to be taken as deductions in determining the taxpayer's net earnings under subsection (a); and

(ii) Any amounts subtracted from net earnings under subdivision (b)(2).

(B) Discretionary additions to net earnings made under subdivision (c)(10)(A) may be made, adjusted, or removed at the taxpayer's discretion for any tax year on any timely filed original or amended return; provided, however, that adjustments made pursuant to this subdivision (c)(10) must not reduce a taxpayer's net earnings below the amount that would have been computed for the tax year without regard to this subdivision (c)(10).

SECTION 2. This act takes effect upon becoming a law, the public welfare requiring it.